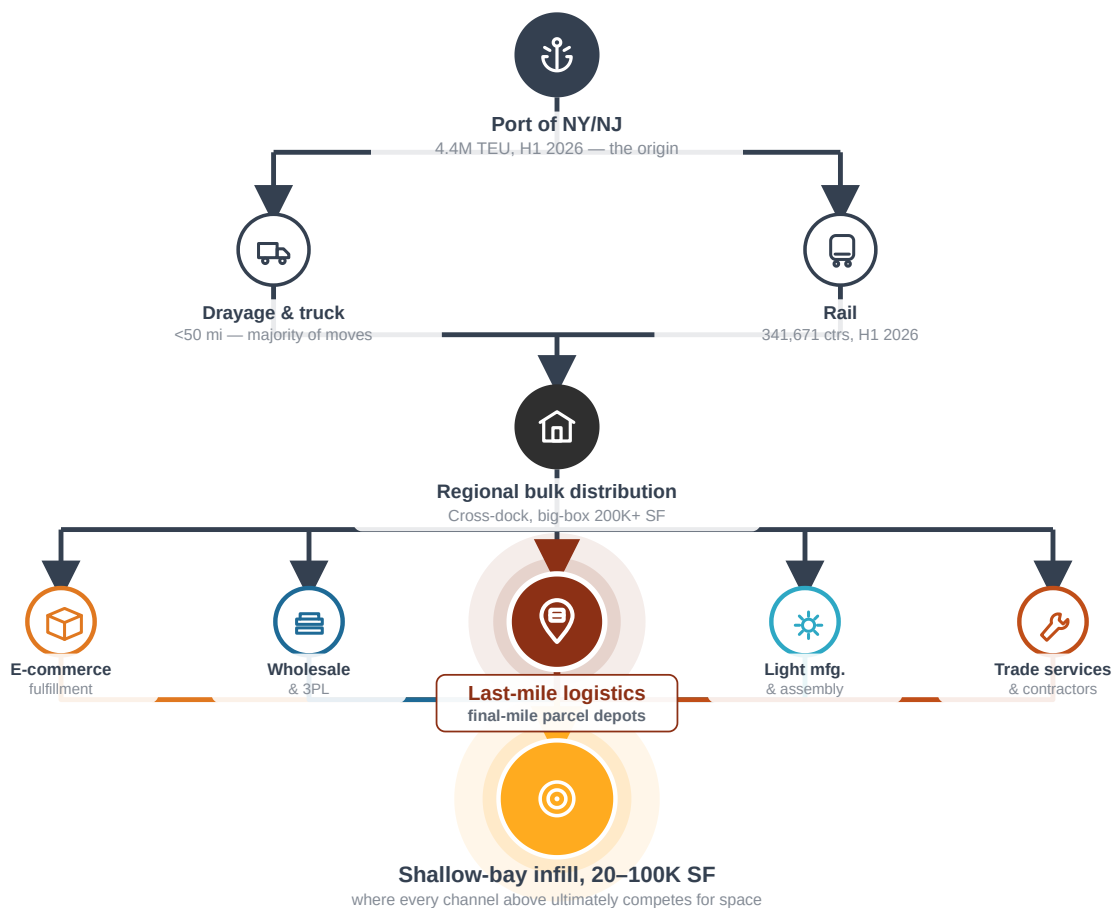


Distribution channels | How goods reach their end use, regionally

Port volume doesn't arrive at one destination — it splits by mode, moves through bulk distribution, then fans out to five distinct end-use channels that all compete for the same shallow-bay space.



Illustrative framework, not deal-level flow data — reflects typical last-mile distribution patterns for port-driven regional demand. Last-mile logistics is broken out as its own channel given the tour stop in the Meadowlands submarket — among the closest shallow-bay geographies to Manhattan and a prime final-mile location. Rail figure: Cushman & Wakefield, *H1 2026 Port of New York & New Jersey Report*.

The common denominator. A parcel fulfillment center, a 3PL cross-dock, a final-mile delivery depot, a light assembly shop and an HVAC contractor's yard look nothing alike on paper — but all five need small, well-located, divisible space near the population they serve. That's the demand base underneath every shallow-bay acquisition.

UNDERWRITING THE FLOW

Five channels. One thesis.

Faropoint doesn't underwrite a single tenant type — it underwrites the infill format every channel above ultimately needs. The final page shows how that shows up in Faropoint's own house view and 2026 acquisition record.